

# BEGONIA CAPITAL

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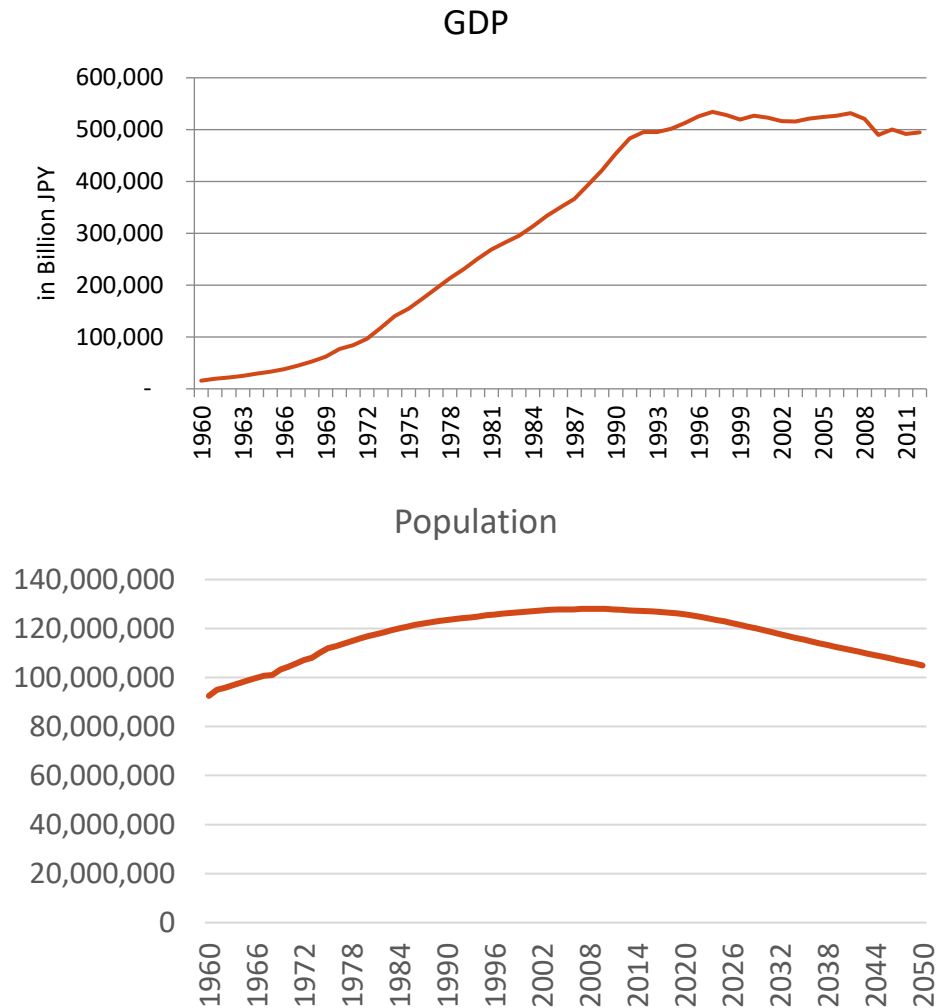
# Executive Summary

- Fund & Strategy
  - Japan Equity Long-Only Engagement Fund
  - Target
    - Initial AUM USD 10-50 million
    - Expected Launch May 2024
- Portfolio Manager
  - Bryan Kazuya Mori
    - Work Experience
      - Consultant – ApaH Capital Management
        - Hong Kong-based hedge fund backed by Blackstone established 2021
        - Served as a special advisor on Japanese public equities
      - Research Analyst – King Street Capital Management
        - Top Global Hedge Fund with Japanese Activist Experience managing USD 20 billion
        - Led on Japanese public equity investments with an engagement angle across all sectors
      - Associate at Ichigo Asset Management
        - Trailblazing Japanese Engagement Fund managing USD 7 billion
        - Responsible for researching Japanese companies and engaging IR and management teams
    - Education
      - B.S., Cornell University, 2009 (cum laude)
    - Awards
      - Placed 2nd in Math Fax Advanced Math Contest – 5th overall in USA
      - Placed 2nd in the American Invitational Mathematics Examination
      - Placed 4th in the Continental Calculus

# Our Mission

- Create **value investment opportunities** in Japanese equities
  - Language and cultural barriers have traditionally made Japan a daunting market to invest in despite its advanced economy and profitable public companies—Bryan Kazuya Mori is *sui generis*—he is culturally and linguistically native in both Japan and the U.S., he has a best-in-class finance pedigree, and he can communicate international *best practice* to Japanese management in a way that international activists cannot
- Drive **positive change** for all stakeholders
  - There is an abundance of great businesses in Japan that go underappreciated or even completely unnoticed
  - Change will be positive not just for shareholders but also for management, employees and society at-large
- Fund target of **20% annual returns** reflecting Bryan Kazuya Mori's experience in the market
  - Even greater upside is also possible as Japan is possibly due for a once-in-a-generation gain in shareholder value if corporate governance improvements sweep the market

# Japan Overview



- **Why Japan has become an afterthought in the investment community:**

- **Economy**

- After WWII, Japan rose from the ashes and achieved tremendous economic growth
- However, the bubble collapsed in 1992 and the following 10-20 years would be known as the “Lost Decade”/“Lost 20 Years”

- **Population**

- The population in Japan has been declining since 2010 and is expected to continue declining
- 29% of the population is 65 or older and that is expected to reach 35% by 2040

- **Language**

- Japan is notoriously a poor English-speaking nation ranking 44<sup>th</sup> out of 48 countries on the TOEIC

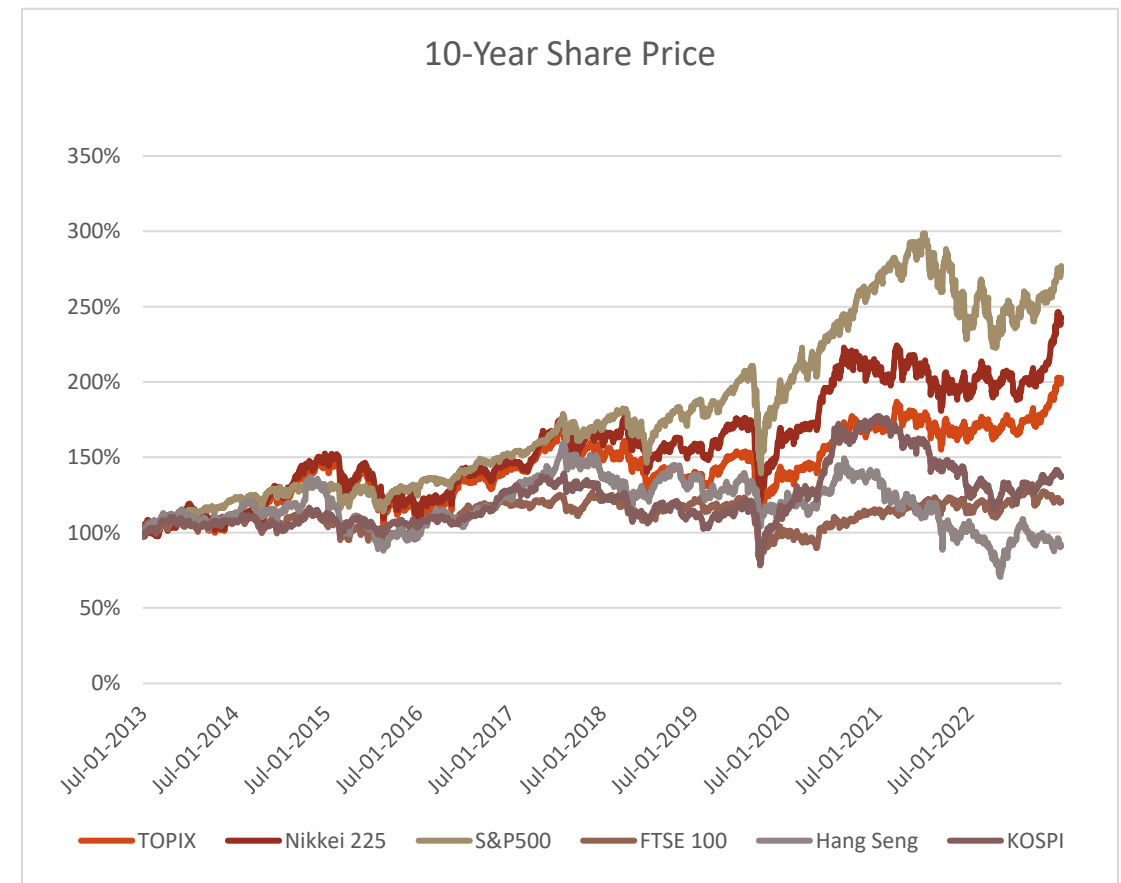
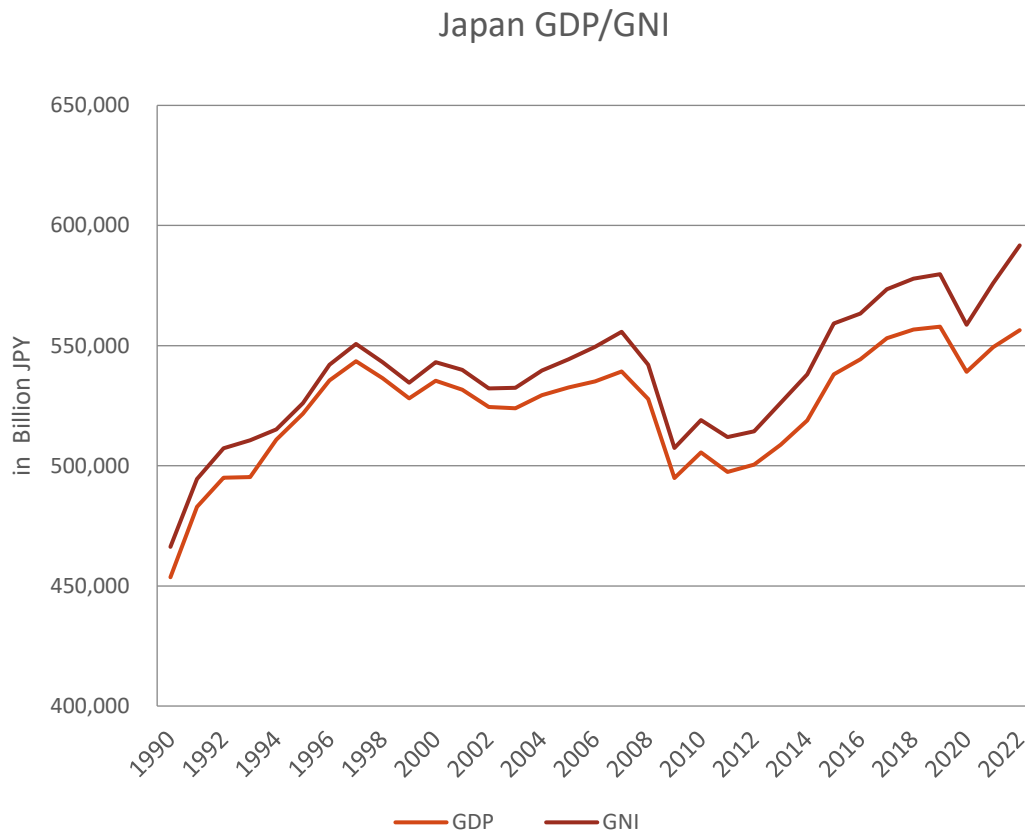
- **Culture**

- From societal values inculcated from an early age to how to conduct business, Japanese culture earns its notoriety for its differences

- **Macro trends in tandem with the “impenetrability” of Japanese business culture have long kept investors at bay**

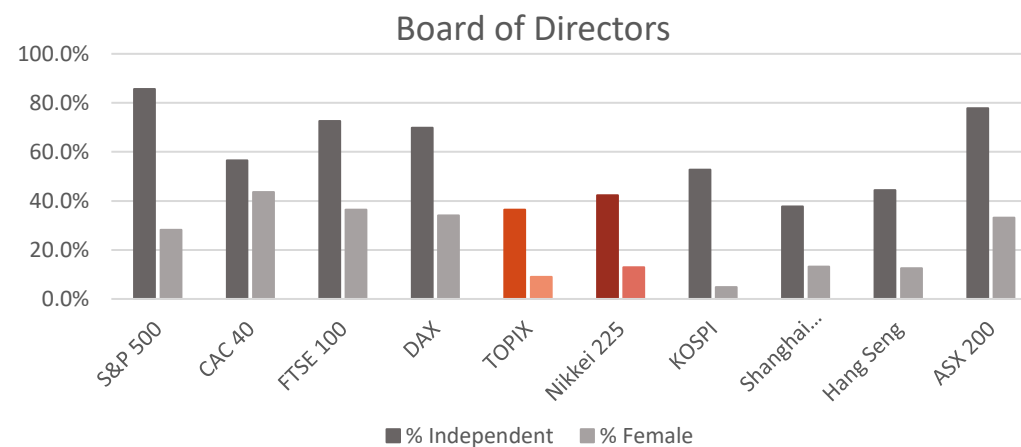
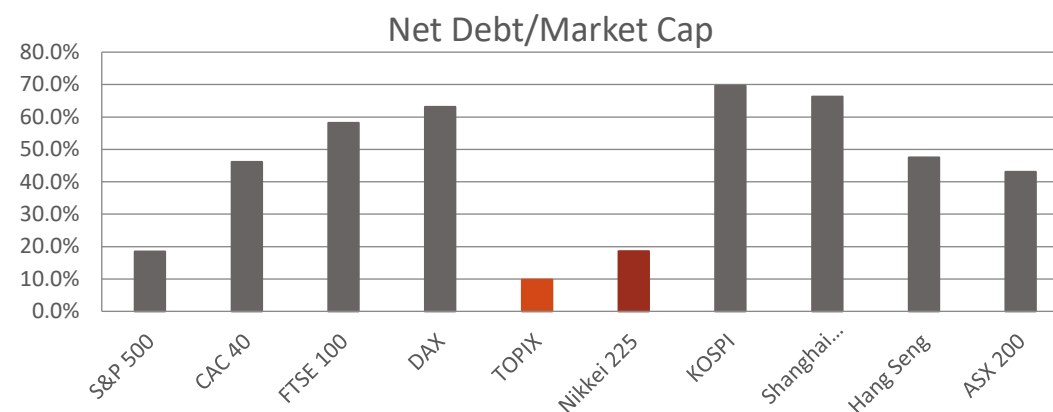
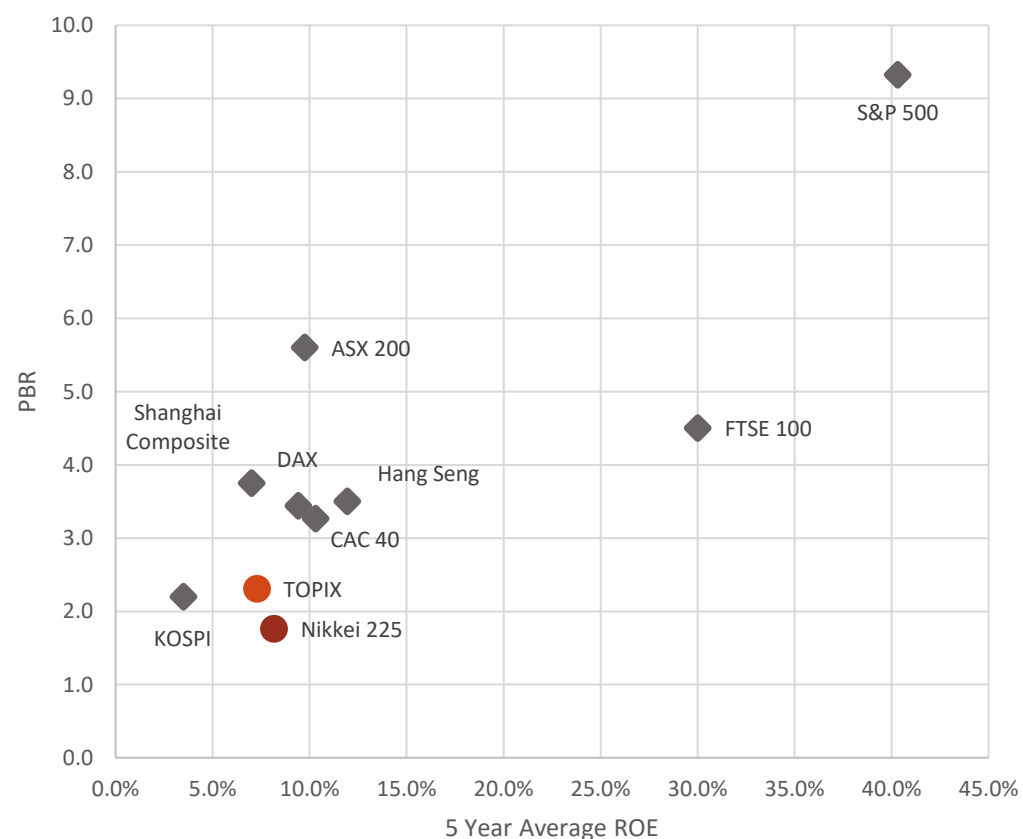
# Japan Overview

However, **Japan is changing for the better**. Since 2012, former Prime Minister Abe focused on jump starting the overall economy (Abenomics) and put focus on improving corporate governance to lure investors back to Japan. After years of stagnant growth, the economy has steadily ticked upwards and the Nikkei 225 has an average annual return of +9% over the past 10 years



# Japan Overview

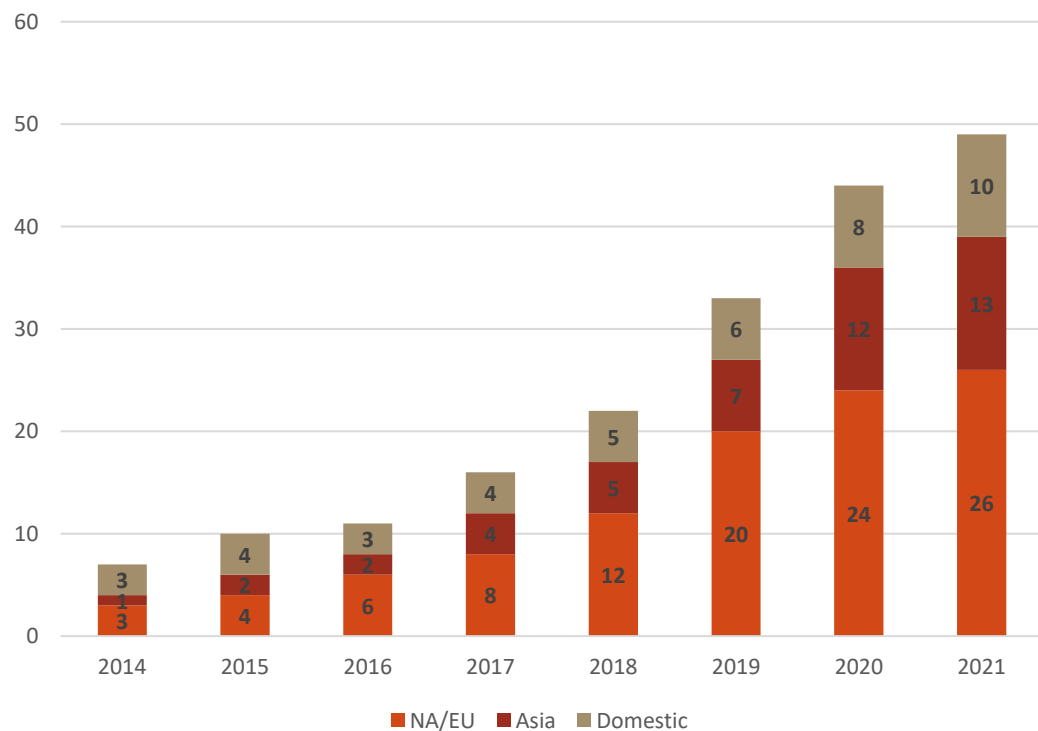
The rise in share prices has been driven in large part by improvements in corporate governance. However, **Japan still has a long way to go to match its international peers** and match their valuations as well—meaning a large capacity of currently untapped value



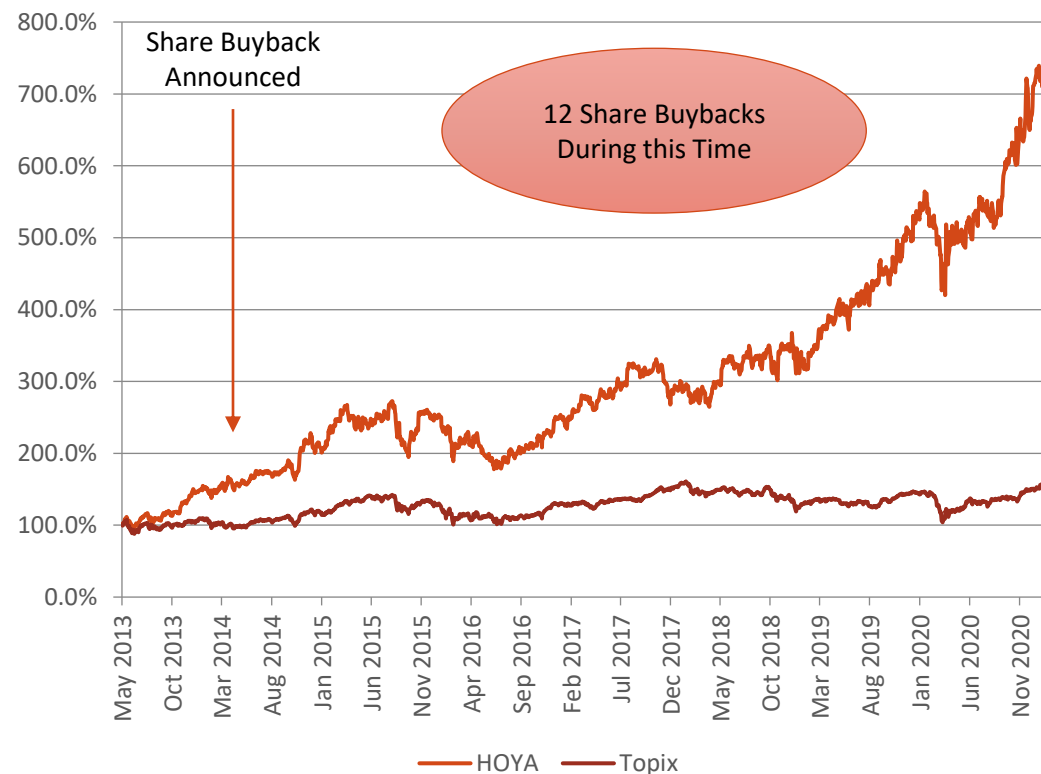
# Activism/Engagement

**Japan has become the 2<sup>nd</sup> largest activist market in the world.** Both overseas and domestic hedge funds have directed more attention to Japan in recent years. The untapped value in conjunction with the government pushing for improved engagements between companies and investors has made Activism/Engagement an appealing strategy in Japan. **Investors that have had successful engagements with companies have seen outsized returns** (See *Appendix* for more examples)

Activist Hedge Funds Invested in Japan



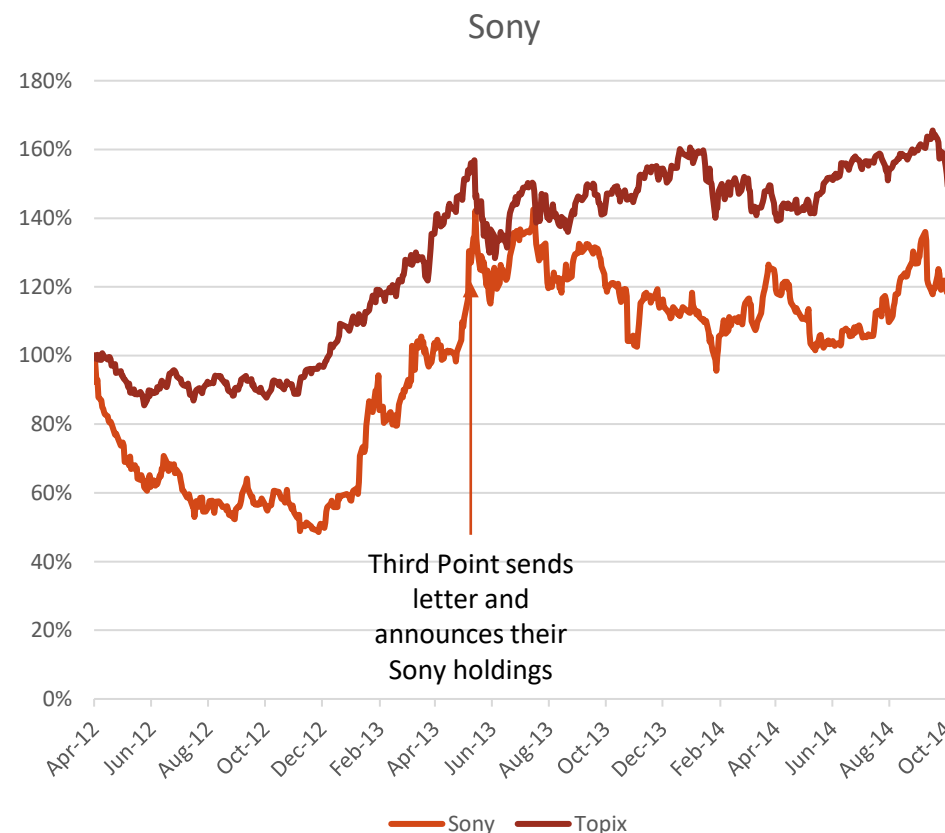
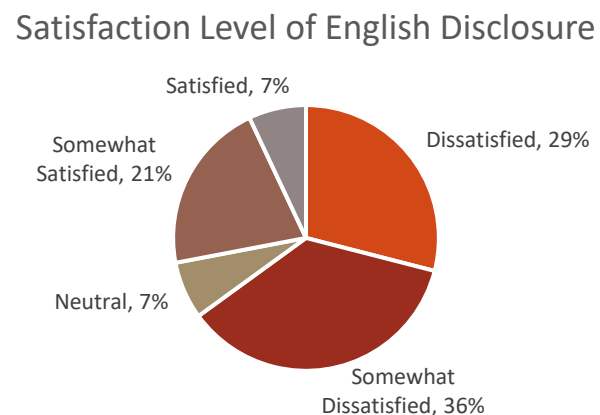
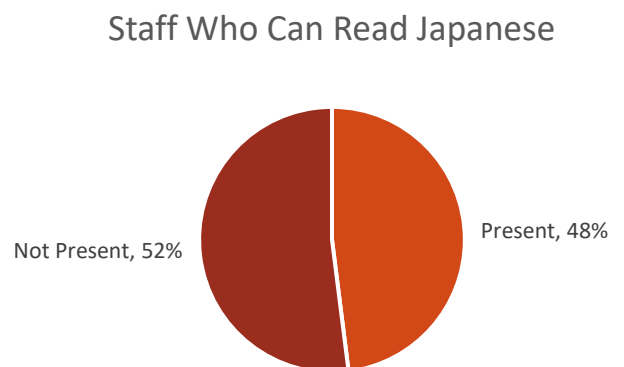
HOYA's Outperformance





# Activism/Engagement

Although Japan has become more receptive to investors, **not all engagements are successful**. It takes a particular combination of skills to execute the strategy. **Language** is immensely important in Japan not only when communicating with the management but also in identifying investment opportunities. Japan is very different from a cultural perspective and **cultural understanding** is essential to communicate in a respectful manner. Lastly, **personal acumen** is necessary in identifying the best way to convey thoughts to the people in management

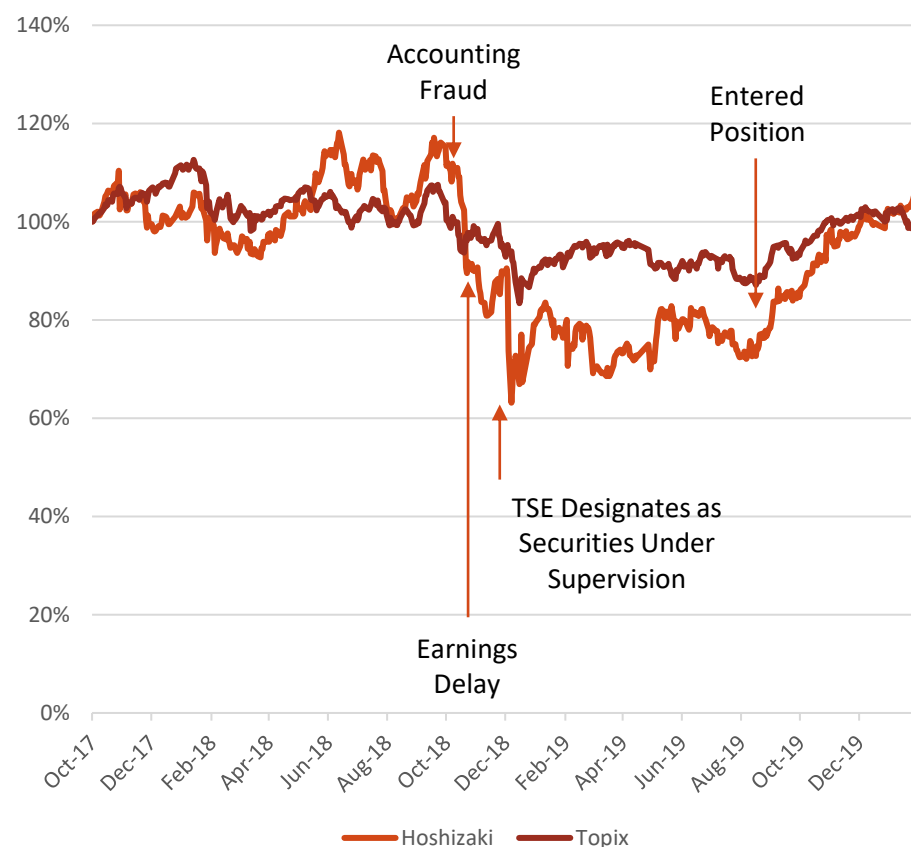


# Portfolio Manager

- Bryan Kazuya Mori has the rare blend of being **bilingual and bicultural**, having years of **experience with engagement/activism in Japan**, and **emotional intelligence** in tandem with **pedigreed analytical skills**
  - He joined Ichigo Asset Management where he began to build his expertise in creating stakeholder value in Japan through delicate but deliberate engagement
    - Ichigo is a very long term investor specializing in Japan engagement
    - He helped identify attractive investment opportunities and gauged management's appetite for engagement
    - He built relationships with IR and management and presented ideas around capital policy, the operating business, IR disclosures, the board, etc. for them to consider
  - He moved on to King Street Capital Management and he got the opportunity to experience an American style of activism and saw what does and does not work in the Japanese context
    - King Street is traditionally known to be a distressed debt fund but opportunistically invests across the capital structure globally including Japan
    - He recommended Japanese public equities with asymmetric return profiles as passive investments with potential engagement/activist upside
    - He advised on existing investments and drove the engagements on new investments made

# Portfolio Manager

To reiterate, a successful Activism/Engagement strategy requires the ability to **identify investment opportunities** and **build a relationship with the company's management**. Hoshizaki is just one example where Bryan Kazuya Mori was able to identify the opportunity despite the company's IR material only being available in Japanese and his knack for not only getting time to meet company management but to influence them as a small shareholder



## PM's Engagement Example

- Hoshizaki (6465)
  - Global leader in the industrial kitchen equipment market such as ice makers and refrigerators
  - Thesis: Strong fundamental business with growth potential that is trading at depressed multiples because of an accounting fraud scandal where impact to earnings proved to be de minimis
  - Engagement Topics: Large cash balance (net cash of about 40% of market cap), better management of sales teams, board of directors, English disclosure
  - Timeline
    - July 2019 – Began Analysis
    - August 2019 – Met with President
    - September 2019 – Met with IR
    - September 2019 – Invested USD 20M (Approximately 0.3% of Shares Outstanding)
    - November 2019 – Met with Executive Officer on the Board
    - January 2020 – Exited Position (Reason: The remaining upside and scale of the position)
  - Management agreed to:
    - Announce that they will address the cash through higher dividends and potentially share buyback
    - Improve the management structure for better oversight
    - Release English IR materials
  - This example shows that meetings can be arranged with the President and Board Members even as a small shareholder (0.3%) and influence decisions
  - **Result: +40% over 5 months**

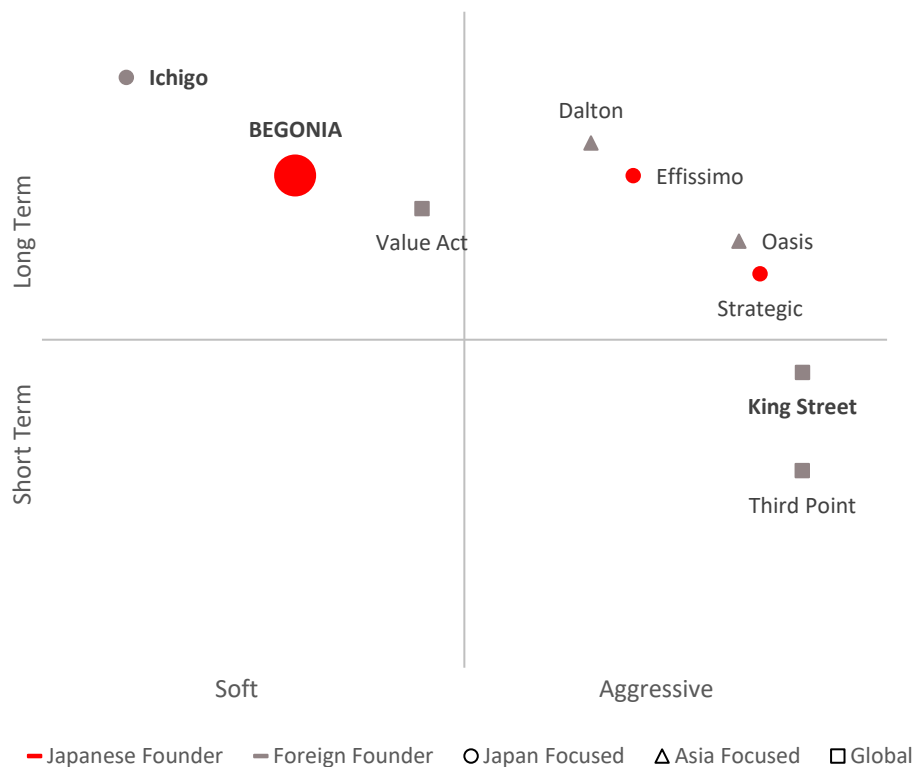
# Portfolio Manager—Track Record

Bryan Kazuya Mori has been successful in identifying other investment opportunities and building a relationship with those companies. He boasts an **exceptional track record** as an analyst at Ichigo Asset Management and King Street Capital Management. His batting average on investments is 77%

| Industry               | Type       | Holding Period | Return | TPX Return | Outperformance | Notes                                                                                                         |
|------------------------|------------|----------------|--------|------------|----------------|---------------------------------------------------------------------------------------------------------------|
| Consumer Discretionary | Engagement | 6.4            | 55%    | 45%        | 10%            | Signed NDA to analyze store profitability. President Founder pushed back on suggestions.                      |
| Consumer Discretionary | Engagement | 8.0            | 142%   | 114%       | 28%            | Engagement was successful. Payout ratio was increased to 100% and board improvement.                          |
| Industrials            | Engagement | 0.2            | 17%    | 17%        | 0%             | Management didn't seem to be interested in engaging. Decided to exit.                                         |
| Materials              | Engagement | 5.0            | 26%    | 51%        | -24%           | Good relationship with management. Discussed restructuring and industry consolidation but has been difficult. |
| Consumer Discretionary | Engagement | 1.7            | 86%    | 31%        | 55%            | The company agreed to raise total payout ratio and announced that they will target 130%.                      |
| Consumer Discretionary | Engagement | 3.1            | 65%    | 26%        | 39%            | Share prices moved before a sizable position could be put on and kept a smaller position.                     |
| Consumer Discretionary | Engagement | 0.4            | 18%    | -3%        | 21%            | Scandal depressed share prices and share prices rebounded before meaningful engagements started.              |
| Consumer Discretionary | Engagement | 1.9            | 40%    | 30%        | 11%            | Company agreed to increase dividends by 60%.                                                                  |
| Industrials            | Engagement | 1.7            | 16%    | 17%        | -1%            | Management didn't seem to be interested in engaging. Decided to exit.                                         |
| Industrials            | Engagement | 0.8            | 10%    | 0%         | 10%            | Management didn't seem to be interested in engaging. Decided to exit.                                         |
| Real Estate            | Engagement | 1.0            | 21%    | 15%        | 6%             | The company agreed to discontinue the poison pill. Also announced that they will sell some noncore assets.    |
| Industrials            | Engagement | 1.0            | 20%    | 15%        | 4%             | Management agreed to shuffle the board with more external and foreign directors.                              |
| Consumer Staples       | Passive    | 0.2            | 27%    | 4%         | 23%            |                                                                                                               |
| Industrials            | Passive    | 0.5            | 3%     | 9%         | -6%            |                                                                                                               |
| Materials              | Engagement | 0.4            | 6%     | 15%        | -9%            | Management didn't seem to be interested in engaging. Decided to exit.                                         |
| Industrials            | Engagement | 0.5            | 40%    | 13%        | 27%            | See Slide 11                                                                                                  |
| Consumer Staples       | Passive    | 0.2            | 27%    | 6%         | 21%            |                                                                                                               |
| Industrials            | Passive    | 0.2            | 5%     | -2%        | 7%             |                                                                                                               |
| Health Care            | Passive    | 0.2            | 23%    | 13%        | 10%            |                                                                                                               |
| Industrials            | Passive    | 0.2            | 7%     | 12%        | -5%            |                                                                                                               |
| Industrials            | Passive    | 0.2            | 19%    | 18%        | 1%             |                                                                                                               |
| Consumer Staples       | Passive    | 0.2            | 27%    | 27%        | 0%             |                                                                                                               |
| Consumer Staples       | Passive    | 0.0            | 26%    | 13%        | 13%            |                                                                                                               |
| Consumer Staples       | Passive    | 0.1            | 22%    | 4%         | 18%            |                                                                                                               |
| Communication Services | Passive    | 0.5            | 87%    | 10%        | 77%            |                                                                                                               |
| Industrials            | Passive    | 0.5            | 29%    | 6%         | 23%            |                                                                                                               |
| Consumer Staples       | Passive    | 0.2            | 21%    | 8%         | 12%            |                                                                                                               |
| Consumer Discretionary | Passive    | 0.3            | 13%    | 7%         | 6%             |                                                                                                               |
| Information Technology | Passive    | 0.2            | 34%    | 5%         | 29%            |                                                                                                               |
| Industrials            | Passive    | 0.2            | 4%     | -3%        | 7%             |                                                                                                               |
| Communication Services | Passive    | 0.1            | 21%    | 3%         | 18%            |                                                                                                               |
|                        | Passive    | 0.2            | 23%    | 8%         | 15%            |                                                                                                               |
|                        | Engagement | 2.3            | 40%    | 28%        | 13%            |                                                                                                               |

# Begonia Capital

Bryan Kazuya Mori has the exceedingly rare experience of working at 2 funds involved in the Japanese engagement/activist scene that take very different approaches to their engagement strategies. **He knows firsthand what has worked and what has not on both ends of the spectrum and is ready to deploy a strategy that incorporates the best of both worlds.** This expertise, coupled with cultural and language fluency, puts him in a league of his own



## ● Strategy

### ● Longer Term

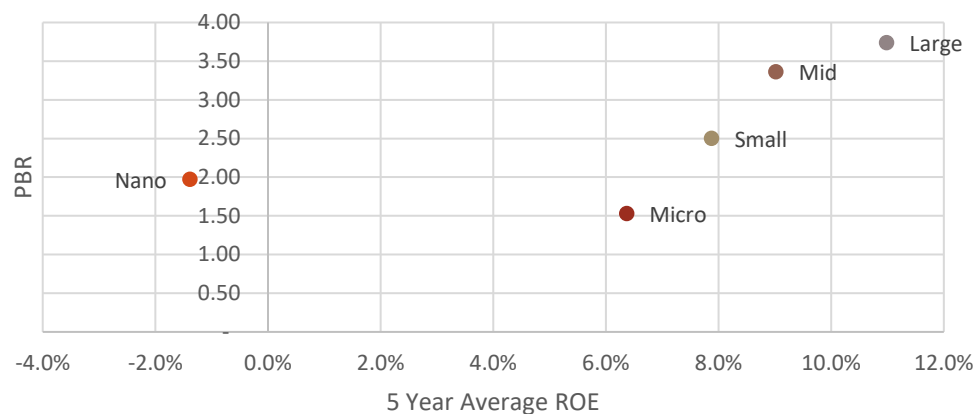
- Time Spent is an important aspect in Japan and is understood as a form of loyalty
- Companies are much more willing to listen when they know the investor is long term
- The holding period should be balanced with the potential returns on an ongoing basis

### ● Sensitive

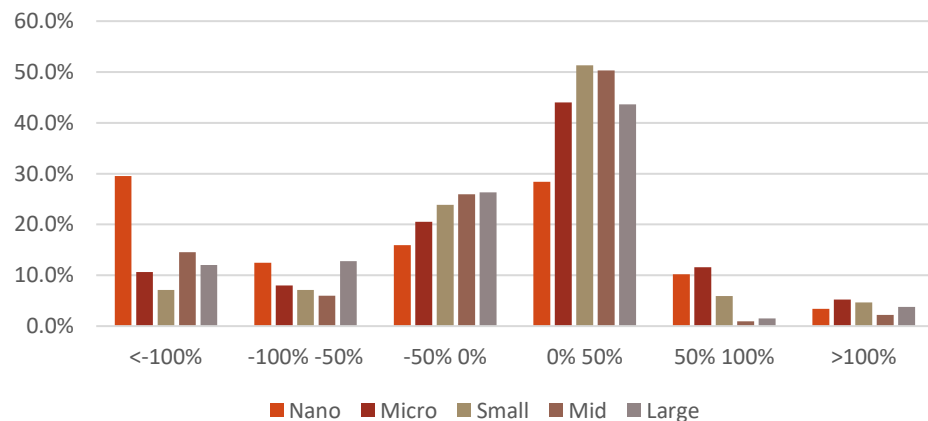
- Respect is crucial in many countries but especially so in Japan
- With that said, some difficult discussions will be necessary for the company to continually improve

# Begonia Capital

TOPIX Companies



TOPIX Companies Net Cash as % of Market Cap



- **Begonia Capital is well-situated to take advantage of the opportunities in Japan**

- Smaller AUM can be advantageous
  - Larger funds focus on larger companies out of necessity for their portfolio construction but smaller companies tend to have higher valuation upside
    - 59% of companies listed on TOPIX are net cash
    - 95% of net cash companies on TOPIX are mid cap or smaller
  - Begonia Capital will start small as the intent is to slowly build up a position over time—using its size as a feature, not a bug
    - Even with a small position, successful engagement with IR and key decision makers is possible (See Slide 12, Portfolio Manager for an example with a 0.3% stake)
    - Companies often feel threatened if an investor shows up on their doorstep with a 5% position on day one

- **There are many engagement themes and opportunities for value creation**

- Net Cash
- Cross Shareholdings
- Listed Subsidiary/Affiliate
- Board of Directors
- Japan is gaining interest from the investment community and Begonia Capital has the skills and experience to hit on engagements
  - **+20% annual returns is an achievable, realistic target—with upside potential**

# Begonia Capital

The fund will hold a highly concentrated portfolio of high conviction investments

| Portfolio Construction        |                                                                                                                                                                             |
|-------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Number of Positions           | Early Stage: <10<br>Mature Stage: ~20 with high concentration in top names                                                                                                  |
| Concentration Limits          | Single Name: 25%<br>Sector: 50%                                                                                                                                             |
| Exposure                      | ~100%                                                                                                                                                                       |
| Holding Period                | Typical Investment Horizon 3-5 years                                                                                                                                        |
| Investment Holding Percentage | Between 5-10% of total outstanding shares for high conviction names                                                                                                         |
| Risk Management               | If a position drops 10% from acquisition, a major re-visit is made to determine if there is a need to exit or if it proves to be an opportunity to further build a position |

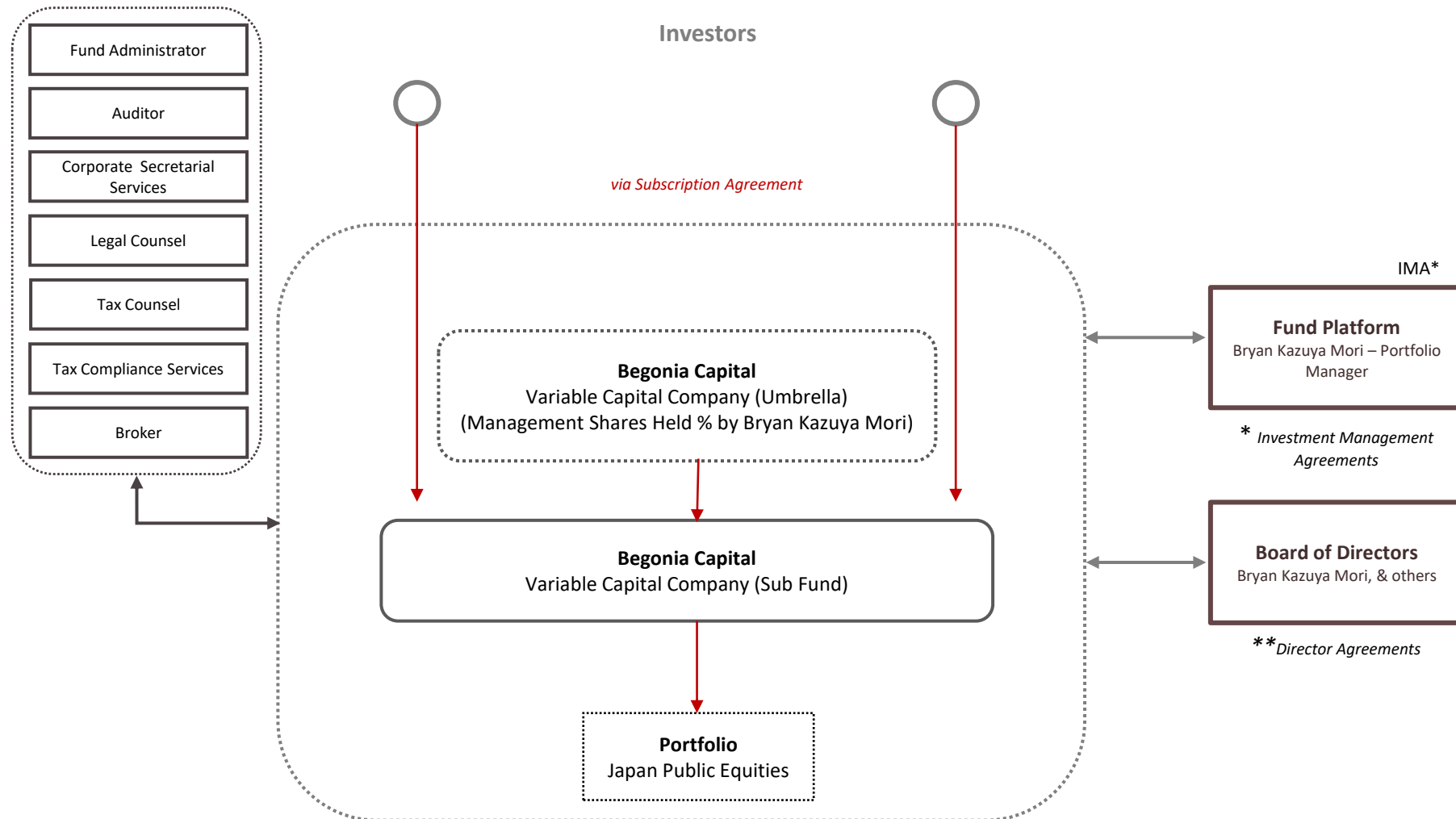
# Fund Terms and Key Service Providers

| Fund Terms                                   |                                                  |
|----------------------------------------------|--------------------------------------------------|
| Fund Name                                    | Begonia Capital                                  |
| Fee Structure (Performance: High Water Mark) | 3 Year Lock-Up, 1.5% Management, 17% Performance |
| Minimum Investment                           | USD 1 million                                    |
| Redemptions                                  | Quarterly; 90-day notice                         |
| Gate                                         | 20% at the Fund Level                            |

| Key Service Providers (Under Consideration) |                                                 |
|---------------------------------------------|-------------------------------------------------|
| Fund Platform                               | Privium Fund Management                         |
| Broker/Custodian                            | Interactive Brokers                             |
| Legal                                       | Bayfront Law (SG), AZX Professionals Group (JP) |
| Fund Administrator                          | Swiss Financial Services                        |
| Auditor                                     | EisnerAmper                                     |
| Tax Advisor                                 | EisnerAmper                                     |



# Proposed Structure



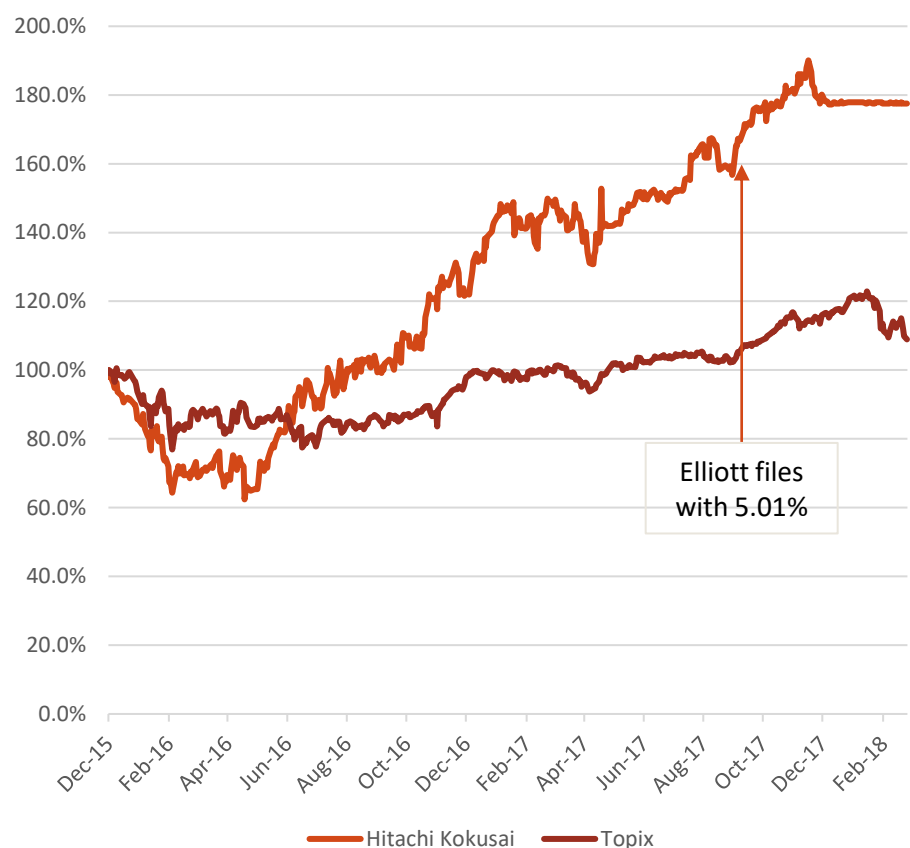
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- The information contained in this presentation is strictly for informational purposes only and should be considered neither an offer nor a solicitation to invest in any funds and or managed accounts managed by Bryan Kazuya Mori both now or in the future. The information has been obtained from or is based upon sources believed to be reliable but is not guaranteed as to its accuracy, adequacy or completeness.
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- For detailed terms and conditions and subscription process please refer to a fund's information memorandum, fund supplement and subscription documents and or managed account documentation. The views contained in this document are views expressed by Bryan Kazuya Mori who reserves the right to change his view to accommodate current developments.

# Appendix

# Activism/Engagement

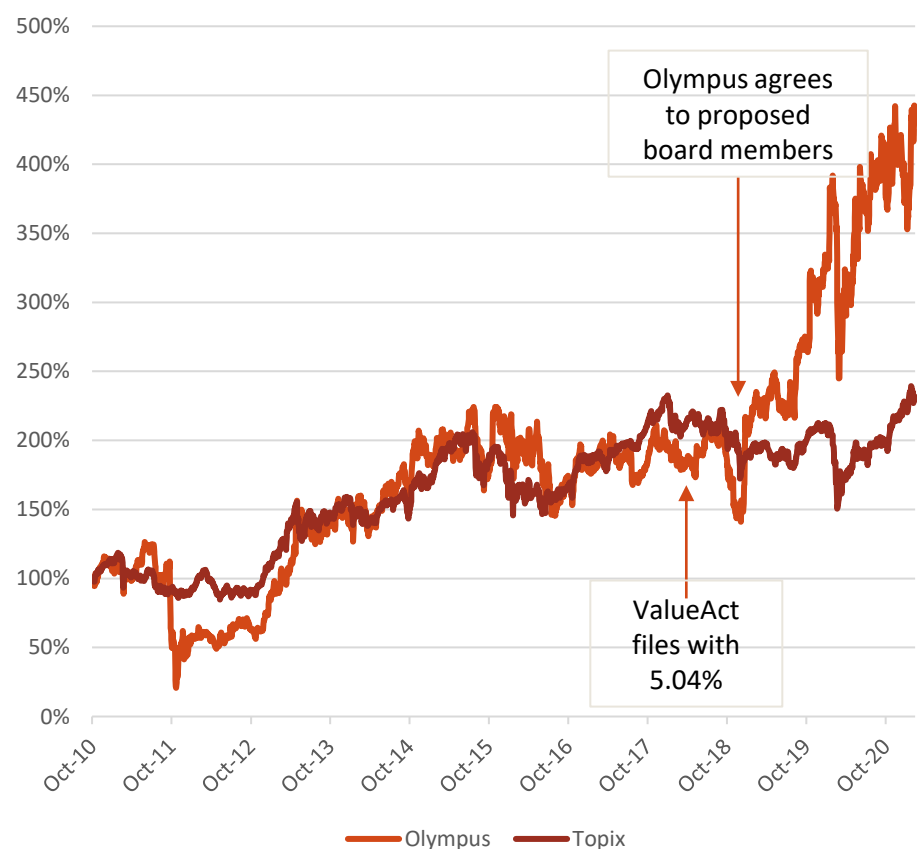
The corporate governance movement has shed new light on the low ROEs in Japan. In addition to addressing this with capital policy, Japanese companies are looking at their operations and business portfolios. Acquisitions and buyouts have had a dramatic increase as companies seek to concentrate on core competencies and sell noncore businesses. Major PE funds are setting up to take advantage of this trend



- Hitachi Kokusai Electric (6756)
  - Manufacturer of wireless communication and semiconductor equipment
  - Subsidiary of Hitachi who owns 51.67%
    - Hitachi struggled post-GFC with 4 consecutive years of loss and were forced into a situation where they needed to restructure the company
    - As a result, Hitachi has ever since been on the forefront of companies that have placed more concentration on core businesses and have sold off on less profitable noncore businesses
    - Major PE firms have targeted many of Hitachi's subsidiaries
  - September 2017—Elliott files as a large shareholder and ultimately builds a position of 8.59%
  - December 2017—After increasing their offer price amidst a bout with Elliott, KKR completes the tender offer
- Other notable companies that have been involved in business portfolio restructuring: Hitachi Koki (6581)—Also acquired by KKR, Fujitsu (6702)—Ichigo Investment, etc.

# Activism/Engagement

One of the key topics within the Ito Report is the need to strengthen the board of directors. Japanese companies have been changing the structure of their board and adding diversity through independent and female directors. Japan still has a ways to go, but it is quite clear that the market rewards those companies that have made positive changes to the board



- Olympus (7731)
  - Manufacturer of optical products such as cameras, microscopes and endoscopes
  - October 2011—Decades of accounting fraud comes to light amongst many other problems
  - November 2011—Earnings Correction
  - January 2012—Olympus named as Security on Alert
  - June 2013—Removed from Security on Alert list after reporting new internal administration system to TSE
  - May 2018—ValueAct files as a major shareholder
  - January 2019—Olympus agrees to have a Partner from ValueAct on the board along with 2 other foreign directors
- Other notable companies that have undergone board changes: Lixil (5938), Omron (6645), Kao (4452), Pigeon (7956), etc.

## Contact Details

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